

MILITARY INDUSTRIAL COMPLEX

Price gouging in the military-industrial complex

A half-inch pin for \$4,361. A soap dispenser marked up 7,943 percent. Inspector general audits, GAO reviews, and congressional hearings have documented the same pattern for decades: sole-source contractors exploit gaps in federal pricing law to charge the Pentagon far more than a fair price, and Congress rarely gets the money back.

Sourced from DoD Inspector General audits, GAO reports, and congressional records, 2019–2026

7,943%

Markup Boeing charged the Air Force for a C-17 soap dispenser, per a 2024 DoD IG audit

\$20.8M

Excess profit TransDigm made on spare parts, 2017–2019 — money it refused to refund

\$431B

Pentagon contract obligations in FY2023 — nearly half its entire base budget

401

Requests for cost data TransDigm refused to answer in FY2022 alone

HOW IT WORKS

Three gaps in the pricing rules

The Pentagon awarded roughly [\\$414–431 billion](#) a year in contracts through the mid-2020s. Watchdogs agree the true scale of overcharging inside that spending is unknown, because the government usually only finds out through whistleblowers or a lawmaker-triggered inspector general audit. Three structural features of defense contracting make that possible.

1. The "commercial item" loophole

Contractors selling the Pentagon a "commercial" product or service don't have to hand over certified cost and pricing data — the labor and material costs that let a contracting officer check whether a price is fair. Congress has broadened the definition of "commercial" for decades, and there's no requirement that a commercial item actually be sold to the public. A company can price a part sold only to the military as if it were competing in an open market, with no market to prove it.

2. Sole-source leverage

Many weapons parts have exactly one manufacturer. Under Federal Acquisition Regulation 6.302, the government can — and often must — buy from that single source without competitive bidding. TransDigm's own business model, according to the DoD Inspector General, is to acquire small companies holding sole-source contracts on legacy aircraft parts, then raise prices once competition is no longer possible. The company calls this "market-based pricing": setting a price based on what the government is willing to pay, not what the part costs to make.

3. Cost-plus incentives

On cost-plus contracts, the government reimburses a contractor's costs and adds a fee on top — so a contractor that lets costs grow can get paid more, not less. A 2006 GAO review found about 60 percent of the cost-plus-award-fee contracts it sampled carried zero base fee, meaning nearly the entire profit was tied to subjective performance ratings with little relationship to cost control. Defense Secretary Pete Hegseth argued in November 2025 that this model has produced a "prime contractor-dominated system defined by limited competition, vendor lock, cost-plus contracts, stressed budgets, and frustrating protests."

CASE STUDIES

Four contracts, four ways to overcharge the Pentagon

TransDigm Group

The acquire-and-raise-prices playbook

In 2019, the DoD Inspector General found TransDigm earned \$16.1 million in excess profit on 46 of 47 parts reviewed — including a half-inch metal pin priced at \$4,361, a roughly 9,400 percent markup over a reasonable cost. TransDigm repaid the money after a congressional hearing.

A second IG audit in 2021 found TransDigm had done it again: \$20.8 million in excess profit on 105 of 106 part types purchased between 2017 and 2019, including a linear actuating cap for F-15 and C-125 aircraft that cost \$189 to make and was sold to the Pentagon for more than \$7,000. This time, the company refused to refund the money.

The IG's explanation: TransDigm's strategy is to buy up small manufacturers that hold sole-source contracts on aircraft parts, then raise prices once the government has nowhere else to go. In FY2022, TransDigm accounted for every single cost-data denial the Defense Logistics Agency recorded — 401 requests refused.

Boeing / C-17

80 times the commercial price

A 2024 DoD Inspector General audit of C-17 transport aircraft spare parts, opened after a whistleblower tip, found the Air Force failed to pay fair and reasonable prices for about 26 percent of parts reviewed — \$4.3 million worth — and couldn't even determine reasonableness on another 54 percent, worth over \$22 million, because no historical cost data existed.

Among the confirmed overcharges: a lavatory soap dispenser the Air Force paid more than 80 times the commercially available price for, a 7,943 percent markup. In total, the Air Force overpaid nearly \$1 million on just 12 types of parts.

The IG found the Air Force never validated the contractor's cost data at negotiation, never conducted price surveillance during the contract, and never reviewed invoices before paying them. Boeing disputed the comparison, saying the IG measured against basic commercial parts that weren't qualified for military aircraft.

Bell Helicopter / Textron

Overcharges hidden by redaction

A 2014 DoD IG audit found the Defense Logistics Agency likely overpaid Bell Helicopter, a Textron subsidiary, roughly \$9 million on 33 of 35 sole-source commercial helicopter parts. The average overpayment across the parts reviewed was 392 percent — including a bevel gear that cost \$445 to make and was billed at \$8,124.

Bell had refused to provide even uncertified pricing data since 2008, and the IG only got the underlying numbers with a subpoena; its public report redacted the actual dollar figures as proprietary information until POGO obtained an unredacted copy.

When a contracting officer flagged 229 parts with price increases over 25 percent and asked Bell to justify them, the company again refused — so the officer simply dropped those parts from negotiation and paid the rest, including some priced 852 percent above the government's prior purchase price.

Lockheed Martin / F-35

Paying more for a plane that flies less

GAO's June 2026 review of F-35 sustainment found the fleet's mission-capable rate fell from 67 percent to 44 percent between fiscal years 2021 and 2025, even as costs kept climbing — lifetime sustainment costs are estimated at \$1.58 trillion, up 30 percent from prior projections. GAO also found DoD paid Lockheed Martin "hundreds of millions" in incentive fees since 2020 meant to improve readiness — incentives GAO says haven't worked.

The response has been to spend more, not less: the Pentagon and Lockheed signed a record \$1.6 billion spare-parts contract, up from \$578 million a year earlier, \$348 million the year before that, and \$382 million in 2022 — a near-fourfold increase in three years.

DoD's own \$13.7 billion "readiness reset" strategy, launched in 2025, depends on the private sector supplying more than \$7 billion in additional parts — from an industrial base GAO says already can't meet current demand.

TIMELINE

From audit to legislation

- May 2019 First DoD IG report on TransDigm finds \$16.1M in excess profit; company repays it after a House hearing.
- Dec 2021 Second DoD IG report finds TransDigm collected \$20.8M more in excess profit; the company refuses to return it.
- Oct 2024 DoD IG audit of C-17 sustainment finds Boeing overcharged the Air Force nearly \$1M, including the 7,943% soap-dispenser markup.
- Sept 2025 Sens. Warren, Slotkin, Grassley and Ernst introduce the bipartisan Transparency in Contract Pricing Act; Reps. Deluzio and Moylan reintroduce the Best Price for Our Military Act.
- Nov 2025 Defense Secretary Hegseth unveils an acquisition overhaul pushing contractors toward fixed-price deals and away from cost-plus.
- Dec 2025 Congress passes the FY2026 NDAA — a \$900.6B authorization that folds in the pricing-transparency bills but also repeals roughly 80 procurement regulations.
- June 2026 GAO reports F-35 mission-capable rates have fallen for four straight years despite record sustainment spending and contractor incentive payments.

THE LEGISLATIVE RESPONSE

Five bills, one session

The 2025–2026 session produced the most concentrated push against contractor price gouging in years — bipartisan, and mostly aimed at forcing contractors to disclose price increases rather than banning them outright.

BILL	SPONSORS	WHAT IT DOES	STATUS
Transparency in Contract Pricing Act of 2025	Warren, Slotkin, Grassley, Ernst (Senate)	Requires contractors on non-competitive contracts to report price increases of 25%+ over the contract bid, or 50%+ over the last 5 years, within 30 days	Introduced Sept. 2025
Best Price for Our Military Act of 2025	Deluzio, Moylan (House)	Closes acquisition loopholes and ties contractor incentives to performance	Folded into House-passed FY2026 NDAA
Defense Industry Pricing Transparency Act	Deluzio (House)	Requires notice when a price exceeds 50% of what the government paid over the prior 5 years	Folded into FY2026 NDAA
Cracking Down on Price Gouging Act (H.R. 4720)	Riley (House)	Amends the Defense Production Act with stricter price-gouging prohibitions on certain materials	Referred to committee, 2025
Stop Price Gouging the Military Act	Warren, Garamendi, Braun	Closes data-denial loopholes; ties financial incentives to contractor performance	Reintroduced each Congress since 2022

The same NDAA that carries these transparency requirements also repeals roughly 80 procurement statutes and regulations as part of a broader deregulatory push — a tradeoff Federal News Network's defense-acquisition sources called "problematic" even as they welcomed new funding for reverse-engineering parts to increase competition.

WHERE THIS LEAVES THINGS

Disclosure is not the same as prevention

Every bill moving through Congress in 2025 and 2026 does the same thing: it asks contractors to notify the government after a price jumps, rather than requiring proof a price was fair before the government pays it. None of them touch the underlying commercial-item designation that let TransDigm, Boeing, and Bell Helicopter avoid handing over cost data in the first place.

Watchdog groups argue that's the real gap. "Companies have been price-gouging the Pentagon for decades," POGO's Julia Gledhill has said, "and unfortunately not much has changed for the better. In fact, things have gotten worse because lawmakers have created so many loopholes in the regulatory framework." The Center for Defense Information's Greg Williams, whose organization endorsed the Warren-Ernst bill, put the competition problem plainly: "I think much more generally, we've seen less and less competition in this field, and I think that's bad for the government and bad for prices."

Meanwhile the dollar amounts keep growing. The FY2026 defense authorization topped \$900 billion. The F-35 program alone is now projected to cost \$1.58 trillion to sustain over its lifetime — while flying less than it did five years ago. Faster contracting and fewer regulations, the Pentagon's current pitch, may speed weapons to the field. Whether it also gives contracting officers more power to say no to a bad price, or less, is the question none of this year's audits have answered yet.

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